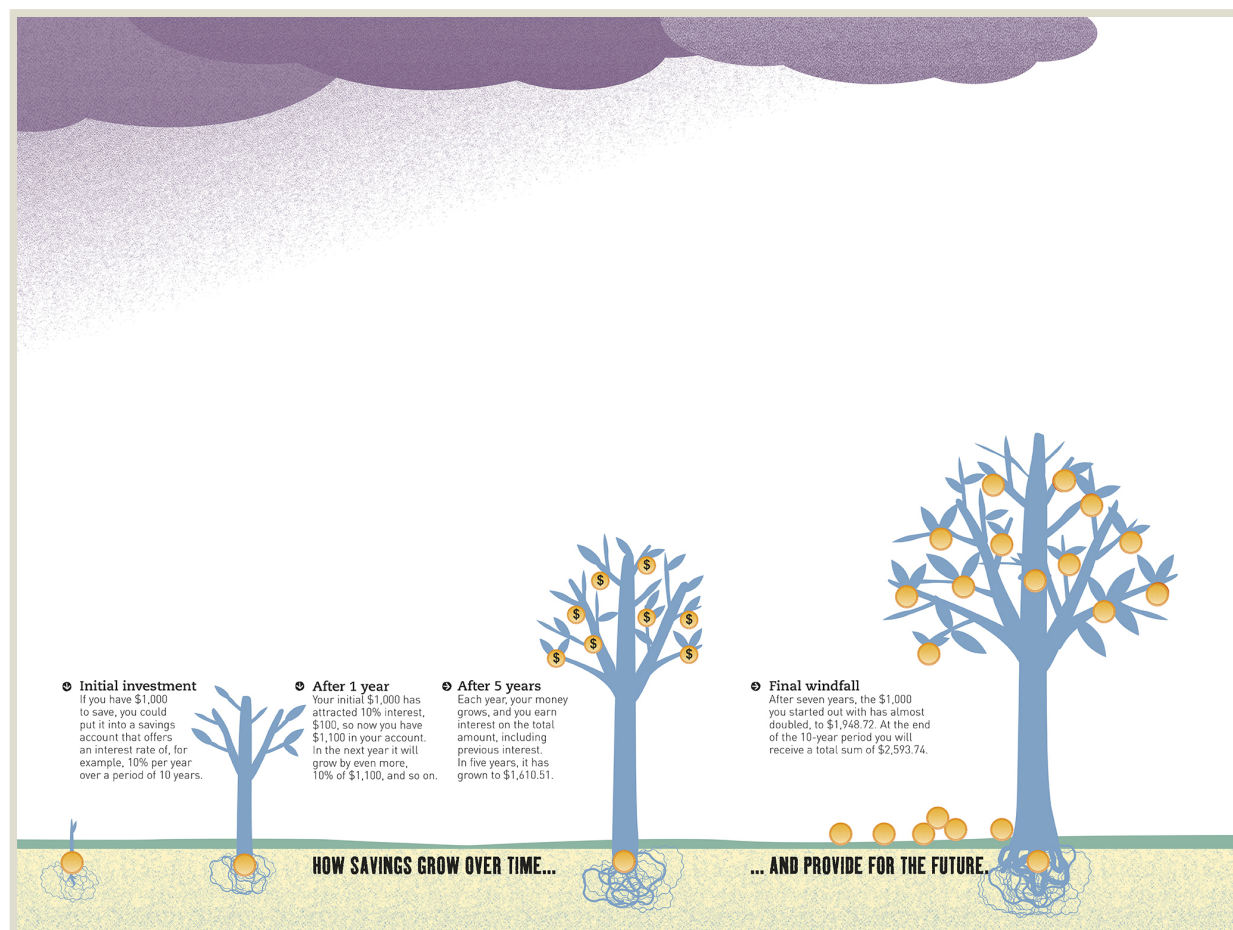


to calculate the way money increases with compound interest, sometimes known as the “rule of 72.” If the interest rate is x percent per year, then the amount will double every 72 divided by x years. So, if the interest rate is 8 percent per annum, for example, the money will have doubled after 9 years. And that is much better than keeping it in a piggy bank!



A fixed rate

In practice, interest rates vary over time, and the money in your account will grow according to the rates at the time the interest is worked out each year. Sometimes they will be higher than when you opened the account, and sometimes they'll be lower. To avoid the uncertainty, you may be able to open an account with a fixed rate of interest for a set period of time. However, if you do this and interest rates go up, you will lose out.